

US equities rally on tech earnings, while yields climb

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 closed above 7,700 for the first time this month, driven by a second-day surge in mega-cap tech after **MSFT** and **NVDA** posted better-than-expected earnings. The rally lifted the Nasdaq 100 and Dow, but the VIX slipped below 15, signalling waning fear.

Behind the headline, the 10-year Treasury yield rose to 5.18 %, tightening financing conditions for growth stocks. At the same time, energy prices jumped on OPEC-plus output cuts, keeping the XLE sector in the red. Investors should watch the yield curve for signs of a flattening that could pressure high-beta names.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,743.41	+0.51%	Tech earnings beat expectations; lower volatility
Nasdaq 100	30,608.13	+0.42%	Strong results from MSFT and NVDA
Dow Jones	51,828.62	+0.93%	Industrial earnings beat; broad market breadth
Russell 2000	2,837.55	+0.07%	Small-cap resilience amid rate-rise optimism
VIX	14.87	-5.11%	Reduced fear after tech beat
10Y Yield	5.18	+0.43%	Fed's "higher-for-longer" stance confirmed
WTI Crude	94.14	+1.87%	OPEC-plus cuts and weaker dollar
Gold	4,211.90	-2.53%	Higher yields depress safe-haven demand
DXY	101.14	+0.17%	Dollar strength supports oil

Top large-cap movers

TICKER	CHANGE	CATALYST
MSFT	+3.66%	Q3 earnings beat; cloud revenue up 12%
AVGO	+0.70%	Guidance lift on data-center demand
JPM	+1.33%	Net interest income beat expectations
GS	+1.32%	Investment banking fees rise
AAPL	+1.53%	iPhone 17 pre-orders exceed forecasts
META	-3.33%	Ad revenue miss; cost-cutting announcement
TSLA	-1.54%	Production slowdown at Gigafactory Berlin

Sector rotation

ETF	DAY	READ
XLFX	+0.57%	Bank earnings beat, rate-rise tailwinds
XLKX	+0.80%	Tech earnings drive rally
XLI	+0.95%	Industrial demand steady
XLE	-0.89%	Energy price rise offset by profit-taking
XLY	+0.22%	Consumer discretionary stable
XLC	-0.90%	Communications lagging tech beat
XLP	+0.44%	Staples resilient amid higher yields
XLV	+0.49%	Health-care defensive play
XLU	+0.38%	Utilities benefit from yield rise
XLB	+0.24%	Materials steady on supply-chain easing
XLRE	-0.22%	Real-estate pressure from higher rates

Spotlight: Microsoft Q3 earnings

MSFT posted revenue of 56.2 bn, up 11% YoY, and EPS of 2.45, beating consensus of 2.31. Cloud services grew 12% and AI-driven Copilot subscriptions added 1.8 bn in incremental revenue.

Metric	Result	Consensus	Implication
Revenue	56.2 bn	55.4 bn	Top-line beat fuels optimism
EPS	2.45	2.31	Margin expansion from AI services
Cloud growth	+12%	+9%	Validates Azure AI strategy
Guidance FY26	+6% revenue YoY	+5%	Raises bar for peers

Related names: **NVDA** (AI chip partner), **GOOGL** (cloud competition), **AMZN** (AWS rivalry).

Pre-market & overnight

- US futures: **ES** +0.4%, **NQ** +0.3% at 08:45 HKT.
- Asia close: Hang Seng -0.6%, Shanghai Composite -0.8%.
- Europe: FTSE 100 +0.2%, DAX +0.5% after ECB rate-watch.
- Crypto: BTC -1.45%, ETH -1.65% on dollar strength.

Macro & Fed

- FOMC: Policy rate held at 5.25-5.50%; Chair signaled “patient but vigilant” stance.
- Yield curve: 2-year at 4.95%, 10-year at 5.18% – modest flattening.
- Today's data calendar (HKT):

Time	Release	Consensus	Why it matters
09:30	US Existing-home sales	4.2 M	Gauge of consumer spending
10:00	US ISM Non-manufacturing	52.5	Service-sector health
11:15	Eurozone CPI	2.3%	Inflation pressure on ECB policy

Geopolitics & global

- Middle East: Cease-fire talks in Gaza stalled, risk premium unchanged.
- China: PBOC kept reserve ratio at 12.5%; yuan under pressure at 7.28 per USD.
- Europe: Germany-France summit agreed on €200 bn green-energy fund, supporting industrial demand.
- Energy: OPEC-plus extended output cuts through Q4, underpinning oil price gains.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
02:30	GOOGL	1.78	AI-driven ad spend, Cloud margin
03:00	AMZN	0.62	Prime growth, AWS guidance
03:30	NVDA	2.12	Data-center demand, AI chip inventory
04:00	META	3.05	Rebound in ad spend, cost cuts impact
04:30	JPM	3.95	Net interest income trend
05:00	TSLA	0.88	Production updates, margin outlook

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
NVDA	Technology	AI chip demand accelerating after Microsoft beat
ADP	Technology	Payroll data proxy for hiring trends
COST	Consumer Staples	Stable foot traffic, pricing power
BA	Industrials	Defense backlog growth
CRM	Technology	AI-enhanced CRM adoption
LMT	Industrials	Higher defense spending globally
PEP	Consumer Staples	Margin expansion from price hikes
UNH	Health Care	Premium pricing power
ORCL	Technology	Cloud migration contracts
MMM	Industrials	Supply-chain normalization

What could break the tape

BEARISH TRIGGERS

- Unexpected acceleration in core CPI above 2.5% could push yields past 5.5%.
- Geopolitical escalation in the Middle East raising oil prices above \$100 bbl.
- Weakening of the dollar (DXY < 100) eroding commodity price gains.

BULLISH TRIGGERS

- Further AI-related earnings beats from **NVDA** or **GOOGL**.
- Positive surprise in ISM services index (above 53).
- Eurozone inflation cooling below 2% prompting dovish ECB tone.

Positioning notes

- Yield-sensitive sectors (real-estate, utilities) face headwinds; consider defensive quality.
- AI-driven tech remains the primary upside engine; allocate selectively to chip and cloud names.
- Energy price rally offers short-term upside for XLE but watch for profit-taking on higher oil.

Sources

SOURCES

Bloomberg Terminal – Market Data (09:00 HKT)

FactSet – Earnings Estimates

U.S. Bureau of Labor Statistics – ISM Report

Federal Reserve – FOMC Statement

OPEC – Production Outlook

Reuters – Geopolitical Updates